

Micron Technology, Inc.

MU NASDAQ

Buy

\$992.47 ▲ 1.53%

12M Price Target
\$1150.00

52-Week Range
\$154.65 – \$1255.00

Market Cap
\$1.12T

MU: HBM Squeeze + CHIPS Act Money = Rocket Fuel

WHAT HAPPENED

- MU ripped +7% in two sessions (from \$926 to \$992) heading into earnings next week — the "AI memory costs are exploding" narrative is back with a vengeance, and traders are piling into \$1000 calls (74K contracts in one strike alone, which is huge). That call-buying is basically the smart money betting Micron beats and guides higher.
- New product news: Micron unveiled a memory stick that "replaces four" — translation: higher density per unit, which means fatter margins because they charge more for the same silicon.

WHY IT MATTERS

Here's what's really going on: memory pricing is in a legit supercycle because every AI data center needs HBM (High Bandwidth Memory — the specialized chips that feed Nvidia GPUs), and there are literally only three companies in the world making it — Micron, SK Hynix, and Samsung. When 24/7 Wall St. says "AI memory costs are about to get a lot worse," that's music to Micron's ears because they're the seller. The unusual call flow at \$980-\$1000 strikes expiring THIS month tells me institutions are positioning for a blowout earnings print on Sept 23 — and if they're right, we could see \$1100+ within days. The bigger picture: MU has transformed from a boom-bust commodity chip cyclical into a strategic AI infrastructure play, and the market is finally re-rating the multiple accordingly.

POLICY & POLITICAL WATCH

Micron is arguably the single biggest winner of the CHIPS and Science Act — they were awarded roughly \$6.1B in direct grants to build fabs in New York and Idaho, plus billions more in loans. With the current administration doubling down on "Made in America" semiconductor policy and expanding export controls on advanced memory to China, Micron benefits both ways: subsidies at home and competitors (Chinese memory maker CXMT) getting boxed out abroad. Watch for the rumored Commerce Department expansion of HBM export restrictions — if that lands, it further tightens global supply and pushes prices higher, which flows straight to MU's bottom line.

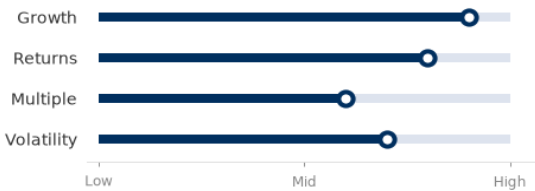
IS IT EXPENSIVE?

At ~\$992, MU trades around 44x forward earnings — that sounds expensive, but you're paying \$44 for every \$1 they're expected to earn in a year where earnings could easily double. If FY27 EPS hits \$22+, the forward P/E collapses to ~18x, which is cheap for a company growing 25%+ with government-backed capex. The stock is at 76% of its 52-week range, so not stretched to the top — there's room to run if earnings confirm the story.

Key Data

Price (USD)	\$992.47
12M Price Target	\$1150.00
Upside / (Downside)	+15.9%
Market Cap	\$1.12T
FY2026E Revenue	\$48,500M
FY2027E Revenue	\$62,000M
FY2026E EPS	\$14.20
FY2027E EPS	\$22.50
Fwd P/E	44.1x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$1080.00	\$1020.00	\$920.00
6 Months	\$1300.00	\$1150.00	\$850.00
1 Year	\$1500.00	\$1250.00	\$800.00
2 Years	\$1900.00	\$1450.00	\$700.00
5 Years	\$2800.00	\$1800.00	\$600.00
10 Years	\$4000.00	\$2400.00	\$500.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: AI infrastructure and memory/semis — the "picks and shovels" of the AI gold rush keep working because demand visibility is real, not speculative. Energy is quietly firming as data center power demand becomes THE story.

COOLING OFF: Financials (-2.65% on the week) getting hit by yield curve dynamics, and Consumer Discretionary weakening as 5% Treasury yields squeeze consumers. Healthcare mixed.

ROTATION WATCH: With yields at 5%, money is rotating OUT of speculative growth and INTO "quality growth with real earnings" — MU fits that bucket perfectly because they actually make money now, unlike a lot of AI names.

RELATED PLAY: If MU keeps ripping, watch the memory equipment makers — Lam Research (LRCX) and Applied Materials (AMAT) sell the tools Micron needs to build fabs, and they benefit whether Micron or Samsung wins the HBM race.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the AI king — every dollar spent on their GPUs requires 3-5 dollars of HBM memory, which is Micron's sweet spot.
- AVGO (Broadcom): Custom AI chip wins with hyperscalers are pulling more memory demand through the ecosystem.

MU CONTEXT: MU is actually leading its peer group in recent weeks — outperforming even SK Hynix on a relative basis, which tells you the market views Micron as the "safer" HBM bet due to US domicile and CHIPS Act support. When the leader in a group is breaking out ahead of earnings with heavy call buying, that's usually a bullish tell — not a fade.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — I'm close to pounding the table here, only holding back slightly because earnings next week is a binary event and the stock has already run 7% into it.

POSITION SIZE: 4-6% of portfolio — big enough to matter, small enough to survive a 20% earnings gap-down if guidance disappoints.

ENTRY POINTS: If you don't own it, wait for a pullback to \$920-950 or buy a partial position now and add on any dip. Chasing \$992 into earnings is aggressive.

TIME HORIZON: 12-24 months — the AI memory cycle likely runs through at least 2027, and CHIPS Act fab capacity comes online in that window.

WHEN TO BAIL: If they miss revenue by more than 5%, or if management guides HBM pricing DOWN sequentially, get out — that breaks the whole thesis. Also bail if China trade war de-escalates dramatically and export controls loosen.

HEDGING: Simplest hedge is to buy protective puts a few percent below the current price expiring after earnings — costs you a bit but caps your downside if the print disappoints. Or just trim 25% of your position into the run-up and buy back after earnings.